

25STCV19808 25STCV19808

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Case Number: 25STCV19808 Hearing Date: July 21, 2026 Dept: 506

SUPERIOR
COURT OF THE STATE OF CALIFORNIA

FOR THE
COUNTY OF LOS ANGELES - CENTRAL DISTRICT

JENNIFER POST,

Plaintiff,

vs.

FCA US LLC, ET. AL.,

Defendants.

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CASE NO.: 25STCV19808

[TENTATIVE] ORDER SUSTAINING DEFENDANT
FCA US LLC'S DEMURRER TO PLAINTIFF'S COMPLAINT

Dept. 506

8:30 a.m.

July 21, 2026

On June 30, 2025, Plaintiff
Jennifer Post ("Plaintiff") filed this action against Defendants FCA US LLC
("Defendant"), Stead Motors Inc. dba Walnut Creek Chrysler Jeep Dodge Ram, and
Does 1 through 10 arising from Plaintiff's purchase of an allegedly defective
vehicle ("Vehicle").

On
October 14, 2025, Defendant filed this Demurrer to the fourth cause of action
for breach of implied warranty and the sixth cause of action for fraudulent
inducement – concealment.

On
July 6, 2026, Plaintiff filed an opposition.

No
reply has been filed.

LEGAL
STANDARD

A

demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.)

DISCUSSION

A.

The Fourth Cause of Action is
Time-Barred

Defendant

argues that Plaintiff's fourth cause of action for breach of implied warranty is time-barred by the four-year statute of limitations.

An

implied warranty claim is governed by the four-year statute of limitations period under California's Uniform Commercial Code section 2725. (Mexia v. Rinker Boat Co., Inc. (2009) 174 Cal.App.4th 1297, 1305-1306 (Mexia).) "A cause of action accrues when the breach occurs, regardless of the aggrieved party's lack of knowledge of the breach. A breach of warranty occurs when tender of delivery is made, except that where a warranty explicitly extends to future performance of the goods and discovery of the breach must await the time of such performance the cause of action accrues when the breach is or should have been discovered." (Comm. Code, § 2725, subd. (2).) In contrast to an express warranty, "an implied warranty . . . is not a warranty that 'explicitly extends to future performance of the goods' [Citations.]" (Cardinal Health 301, Inc. v. Tyco Electronics Corp. (2008) 169 Cal.App.4th 116, 134 (Cardinal Health 301).) "The implied warranty of merchantability may be breached by a latent defect undiscoverable at the time of sale." (Mexia, supra, 174 Cal.App.4th at p. 1304.) "In the case of a latent defect, a product is rendered unmerchantable, and the warranty of merchantability is breached, by the existence of the unseen defect, not by its

subsequent discovery. . . . Thus, although a defect may not be discovered for months or years after a sale, merchantability is evaluated as if the defect were known.” (Id. at p. 1305.)

Defendant

contends that Plaintiff purchased the Vehicle on September 23, 2020. Defendant argues that Plaintiff’s breach of implied warranty cause of action accrued on that date and expired four years later on September 23, 2024. Plaintiff did not file suit until June 30, 2025, which is nearly a year after the four-year limitations period expired.

In

opposition, Plaintiff argues that Plaintiff had no way of knowing about the breach of implied warranty until the defect manifested itself. Plaintiff contends that Plaintiff’s implied warranty claim was thus tolled by the delayed discovery rule and is timely. Plaintiff argues that the time accrues where the consumer discovers the defect and argues that Cardinal Health 301 is inapplicable.

The

Court is not persuaded by Plaintiff’s argument. Cardinal Health 301 expressly states that: “Because an implied warranty is one that arises by operation of law rather than by an express agreement of the parties, courts have consistently held it is not a warranty that “explicitly extends to future performance of the goods.” (Cardinal Health 301, *supra*, 169 Cal.App.4th at p. 134.) Thus, Plaintiff’s argument that statute of limitations does not accrue until the defect should have been discovered is inapplicable.

Moreover,

Plaintiff does not dispute that Plaintiff purchased on September 23, 2020. In fact, Plaintiff’s Complaint states that Plaintiff entered a warranty contract with Defendant on September 23, 2020. (Compl., ¶ 7.) Plaintiff filed the Complaint on June 30, 2025, which is beyond four years. (See Compl.) Thus, the statute of limitations has run.

Accordingly,

the demurrer to the fourth cause of action is sustained without leave to amend.

B.

The Sixth Cause of Action is Not

Time-Barred

Defendant

argues that the sixth cause of action for fraudulent inducement – concealment is time-barred by a three-year statute of limitations.

To

sustain a demurrer on the statute of limitations, the running of the statute must appear clearly and affirmatively on the face of the complaint. (*Geneva Towers Ltd. Partnership v. City of San Francisco* (2003) 29 Cal.4th 769, 781.)

“[I]t is not enough that the complaint might be time-barred. [Citation.]”

(*Ibid.*)

Plaintiff

alleges that: “the running of the limitation periods have been tolled by, inter alia, the following doctrines or rules: equitable tolling, the discovery rule, the fraudulent concealment rules, equitable estoppel, the repair rule, and/or class action tolling (e.g., the American Pipe rule).” (Compl., ¶ 37.)

“The

general rule is that the statute of limitations begins to run when the wrongful act is done, even though the plaintiff is ignorant of his or her cause of action or of the identity of the wrongdoer.”

(*Snow v. A. H. Robins Co.* (1985) 165 Cal.App.3d 120, 127.) The running of the statute of limitations may be postponed on certain causes of action until the time of discovery of the

facts. (*Ibid.*) “With respect to actions based on fraud, the

statute of limitations is tolled whenever plaintiff is able to show the defendant fraudulently concealed facts which would have led him to discover his potential cause of action.” (*Id.*

at pp. 127-128.)

Here,

Plaintiff alleges that the parties entered into a warranty contract on September 23, 2020. (Compl., ¶ 7.) Before purchasing the Vehicle, Plaintiff alleges FCA knew that the Vehicle was defective. (*Id.* at ¶ 18.) “Plaintiff discovered Defendants’ wrongful conduct alleged herein shortly before the filing of the complaint” on June 30, 2025. (*Id.* at ¶ 38.)

The

Complaint does not facially show that the statute of limitations bars this

cause of action. It is not clear from the face of the Complaint when Plaintiff should have discovered that Defendant concealed information about the vehicle's defects.

Accordingly,
the demurrer is overruled on this ground.

C.

The Sixth Cause of Action Fails to
Plead Fraud with Specificity

Defendant

argues that the sixth cause of action for fraudulent inducement – concealment does not allege facts with the requisite specificity.

Fraud

based on concealment requires that “(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 310-311 (Bigler-Engler).) “Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party.” (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1256, 1384.)

An

essential element of intentional concealment includes the duty to disclose, which must be based upon a transaction, or a special relationship, between plaintiff and defendant. (Id. at p. 314.) “There are ‘four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.’” (Id. at p.

311.) “[O]ther than the first instance, in which there must be a fiduciary relationship between the parties, ‘the other three circumstances in which nondisclosure may be actionable presuppose[] the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. . . . “[W]here material facts are known to one party and not to the other, failure to disclose them is not actionable fraud unless there is some relationship between the parties which gives rise to a duty to disclose such known facts.”

[Citation.]’ [Citation.]” (Hoffman v. 162 North Wolfe LLC (2014) 228 Cal.App.4th 1178, 1187 (Hoffman).)

“Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (Bigler-Engler, supra, 7 Cal.App.5th at p. 312.)

Here,

Plaintiff alleges Defendant knew about the Vehicle and Engine defects prior to the sale of the Vehicle. (Compl., ¶ 66.) Plaintiff did not know about the defects. (Id. at ¶ 71.) Defendant, who had superior knowledge of the defects, did not disclose the defects to Plaintiff. (Id. at ¶ 67.) These allegations are specific enough to allege the information that was concealed and the danger posed. (See Jones v. ConocoPhillips Co. (2011) 198 Cal.App.4th 1187, 1199-1200.)

However,

Plaintiff does not allege facts showing the existence of a relationship between the parties that gives rise to a duty to disclose facts. (See Hoffman, supra, 228 Cal.App.4th at p. 1187.) Plaintiff alleges that Defendant had knowledge through sources not available to consumers such as Plaintiff including “pre-production testing data, early consumer complaints about the Engine Defect made directly to FCA and its network of dealers, aggregate warranty data compiled from FCA's network of dealers, testing conducted by FCA in response to these complaints, as well as warranty repair and part replacements data received by FCA from FCA's network of dealers, amongst other sources of internal information.” (Compl., ¶ 67.) There are no facts showing that Defendant's knowledge was exclusive or that Defendant intended to defraud. Indeed, Plaintiff alleges that there were prior customer complaints, suggesting that the knowledge was in fact public. (Ibid.)

Moreover,
in a transaction that does not involve fiduciary or confidential relations, the
“transaction must necessarily arise from direct dealings between the plaintiff
and the defendant; it cannot arise between the defendant and the public at
large.” (Bigler-Engler, supra, 7
Cal.App.5th at pp. 311-312.) Plaintiff
alleges no such direct transaction with and direct concealment by Defendant.

Accordingly,
the demurrer to the sixth cause of action is sustained on this ground.

D.
The Sixth Cause of Action is Barred
by the Economic Loss Rule

Defendant
argues that the sixth cause of action is barred by the Economic Loss Rule.

Under the economic loss rule, “[w]here a purchaser’s
expectations in a sale are frustrated because the product he bought is not
working properly, his remedy is said to be in contract alone, for he has
suffered only ‘economic’ losses.” (Robinson
Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 988 (Robinson),
quotation marks omitted.) However, tort
damages may be permitted when the breach of contract is accompanied by a tort
such as fraud. (Id. at pp.
989-990.) To plead around the economic
loss rule, a party must plead the existence of a duty that arises independent
of any contractual duty and independent injury, other than economic loss, that
arises from the breach of that duty. (Id.
at pp. 988-991.)

“[U]nder
California law, the economic loss rule does not bar [a claim] for fraudulent
inducement by concealment. Fraudulent
inducement claims fall within an exception to the economic loss rule recognized
by our Supreme Court” in Robinson, and such claims allege fraudulent
conduct that is independent of the alleged warranty breaches. (Dhital v. Nissan North America, Inc.
(2022) 84 Cal.App.5th 828, 843.) The

Supreme Court has confirmed that “the economic loss rule does not apply to limit recovery for intentional tort claims like fraud.” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 38.) “A plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties’ contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement.” (Ibid.)

Accordingly,
a properly pleaded claim for fraudulent inducement is not barred by the economic loss rule. Here, however,
Plaintiff does not establish all elements of fraudulent concealment independently of the parties’ contractual rights and obligations.

Additionally,
Plaintiff has not pled an independent harm beyond the contractual right and obligations. Plaintiff alleges: “Plaintiff was harmed by purchasing a vehicle that Plaintiff would not have leased and/or purchased had Plaintiff known the true facts about the Engine Defect.
Furthermore, Plaintiff was unknowingly exposed to the risk of liability, accident and injury as a result of Defendant’s fraudulent concealment of the Engine Defect.” (Compl., ¶ 71.) However, this allegation fails to state that Plaintiff was in fact damaged. Unknown risk that does not result in liability or injury by definition is not actual damage. (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 202 [“Misrepresentation, even maliciously committed, does not support a cause of action unless the plaintiff suffered consequential damages,” concurring opinion]; Boschma v. Home Loan Center, Inc. (2011) 198 Cal.App.4th 230, 248 [“as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage”].) Moreover, the alleged harm of purchasing the Vehicle is an economic harm which was within the reasonable contemplation of the parties when they entered into the agreement. (See Rattagan, supra, 17 Cal.5th at p. 38.)

Accordingly,
this cause of action is barred by the economic loss rule.

CONCLUSION

Accordingly,

the demurrer is SUSTAINED. The demurrer to the fourth cause of action is sustained without leave to amend and the demurrer to the sixth cause of action is sustained on the grounds that is insufficiently plead and barred by the economic loss rule.

At

the hearing, Plaintiff should be prepared to explain what additional facts will be pleaded and exactly how any amendments can remedy the deficiencies of the sixth cause of action without making it a sham pleading. The Court will decide at the hearing whether to grant leave to file a First Amended Complaint.

Moving

party to give notice.

Parties

who intend to submit on this tentative must send an email to the Court at indicating intention to submit. If all parties in the case submit on the tentative ruling, no appearances before the Court are required unless a companion hearing (for example, a Case Management Conference) is also on calendar.

Dated this 21st day of July 2026

Hon. Thomas D.

Long

Judge of the Superior

Court